India Adopts a Law to Limit Fiscal Deficits in 2003–04

While India started recognizing fiscal deficits from financial year 1991–92, there was no check on limiting it to any particular level. Globally, two rules were getting increasing traction. One, the so-called golden rule: limiting revenue expenditures to revenue receipts. This rule enjoined governments not to borrow for revenue or current expenditures. Second, the fiscal deficit rule: limiting fiscal deficits to a certain fraction of GDP. This rule enjoined governments to take only a limited amount of savings for expenditures beyond revenue receipts. Europe had adopted a 3 per cent fiscal deficit rule under the Maastricht Treaty for the countries joining the EU. Many countries enacted fiscal responsibility and budget management laws to give statutory backing to these two rules.

The Indian government also adopted the Fiscal Responsibility and Budget Management Act (FRBM Act) in 2003–04. It did not specify any particular revenue and fiscal deficit target but left it to be determined by the government under the rules to be framed under the Act. After some deliberations, 3 per cent fiscal deficit was proposed.

All state governments in India also followed suit, most expeditiously after the Twelfth Finance Commission made it mandatory for them to enact the FRBM laws to claim benefits of debt waiver and consolidation. The Government of India also linked approvals for borrowing ceilings and market borrowings for the states to the fiscal deficit targets recommended by the Finance Commission as part of the fiscal consolidation path and the passing of FRBM laws.

The Government of India found it hard to achieve the fiscal deficit target. The turmoil caused by the global financial crisis in 2008–09 was used to suspend and reset the fiscal consolidation and fiscal deficit path. The NDA government designed its own fiscal consolidation glide path in 2014–15 to attain the 3 per cent fiscal deficit target by 2018–19.